



THE FUTURIST'S STRATEGY CONE™

An Agentic AI Framework for Internal Audit

4 Stages: Risk → Audit → Validation → Reporting

✓ LIVE IN EXCEL - 3 MONTHS



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DM “CONE” for Framework

THE FUTURIST'S STRATEGY CONE™

Reimagining Internal Audit for the Age of Agentic AI

By Adnan Shamim, CIA(p)
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Framework Developer

WHY WE NEED A NEW FRAMEWORK

Traditional Internal Audit approaches are increasingly challenged by today's rapidly evolving risk environment.

For decades, many audit functions have relied on a familiar cycle:

Sample 'n Test 'n Report 'n Repeat

Meanwhile, regulatory expectations continue to expand, operational risks are becoming more complex, and organizations are generating more data than manual audit processes can efficiently evaluate.

At the same time, Artificial Intelligence is evolving beyond simple automation. Modern Agentic AI systems have the potential to assist with planning, investigation, evidence collection, monitoring, and reporting under appropriate human oversight.

The future of Internal Audit is not about replacing auditors—it's about augmenting their capabilities.

This thinking inspired the development of THE FUTURIST'S STRATEGY CONE™.

WHAT IS THE FUTURIST'S STRATEGY CONE™?

THE FUTURIST'S STRATEGY CONE™ is a four-layer conceptual framework designed to help Internal Audit functions integrate Agentic AI into governance, risk management, and assurance activities.

The model begins with strategic vision and narrows toward practical execution.

LAYER 1 – VISION

AI-Enabled Audit Mindset

Key Question: What activities can be enhanced through AI?

The objective is to reduce repetitive manual work while enabling auditors to focus on professional judgment, governance, ethics, and strategic risk assessment.

Shift: From Auditor to Risk Architect.

LAYER 2 – STRATEGY

Risk Mapping

Key Question: What should be monitored?

As part of my research and framework development, I have identified more than 362 granular risks that may be relevant within Microfinance Bank operations by mapping regulatory requirements into measurable risk scenarios.

Example:

Operational Risk 'n Cashier skips end-of-day cash count.

Such mapping enables continuous AI-assisted monitoring where appropriate.

LAYER 3 – OPERATING MODEL

Human + Agentic AI

Human Auditors and Agentic AI perform complementary roles.

Human Auditors provide professional judgment, ethical oversight, stakeholder engagement, and accountability.

Agentic AI assists with continuous control testing, anomaly detection, evidence collection, and preparation of draft observations for auditor review.

Principle: Human judgment remains essential. AI enhances scale, speed, and analytical capability.

LAYER 4 – EXECUTION

Continuous Learning

A continuous improvement cycle may include:

- Detect anomalies
- Collect supporting evidence
- Prepare draft observations
- Update risk models based on validated findings

The objective is to support more timely and data-driven assurance activities.

POTENTIAL BENEFITS

When implemented appropriately, organizations may achieve:

- Broader transaction coverage through technology-enabled monitoring.
- Reduced manual effort for repetitive audit procedures.
- Improved insight into emerging risks for management and Boards.

Actual outcomes will depend on governance, implementation quality, technology, and organizational maturity.

WHY THIS MATTERS FOR PAKISTAN

Pakistan's financial sector continues to strengthen governance, risk management, and regulatory compliance.

Agentic AI has the potential to support banks, microfinance institutions, and fintech organizations by improving monitoring, documentation, and audit efficiency while remaining subject to human oversight and applicable regulatory requirements.

THE FUTURIST'S STRATEGY CONE™ has been developed with consideration of Pakistan's regulatory environment and is intended to support stronger compliance and risk management practices.

THE FUTURE OF AUDIT

AI is unlikely to replace professional auditors.

Instead, auditors who effectively integrate AI into their work may be better positioned to deliver greater value.

THE FUTURIST'S STRATEGY CONE™ represents my ongoing research and practical work toward that vision.

I continue to refine the framework, develop supporting AI agents, and validate the methodology through practical application.

The future of Internal Audit will be shaped not only by technology, but by professionals who use it responsibly, ethically, and strategically.

About the Author

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Building practical AI-enabled
frameworks for the future of Internal
Audit.

If you're interested in learning more,
comment "CONE" below and I'll share
the framework diagram.

P.S. This framework is my personal
research and does not represent any
current or past employer.

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